CODE HILLS 1001 — Business Plan

Cascara Circle — Coffee (Byproduct Valorization)

> Part of the CODE HILLS 1001 business-plan library (6 plans total, built from Rwanda's natural resources: Umuravumba, Tea, Coffee, Umwenya, Sisal). Figures in RWF are labeled estimates — verify current local prices, supply arrangements, and regulatory requirements (RDB/RFDA/technical institute) before investing.

PREMIUM BUSINESS 1 — "Cascara Circle" (Coffee — byproduct valorization)

1. Business Identity

- **Name:** Cascara Circle
- **Tagline:** *"Nothing from the cherry goes to waste."*
- **Resource:** Coffee — specifically the **cherry pulp, parchment husk, and low/reject-grade cherry** discarded or under-valued at washing stations, not the green bean itself.
- **Concept:** A B2B supplier to hotels, cafés, and corporate clients of **cascara (dried coffee-cherry tea), coffee-cherry cosmetic exfoliant, and coffee-husk fuel briquettes/growing substrate**, built around a supply relationship with coffee washing stations that currently treat these materials as waste.
- **What makes it unique:** This is not "a coffee brand." It never sells roasted green-bean coffee at all — it is a **waste-stream valorization business** that turns a washing station's disposal cost into three separate revenue-generating product lines.

2. Problem

Coffee washing stations generate large volumes of pulp, parchment husk, and reject cherry as part of normal processing; this material is frequently discarded, dumped, or under-monetized, creating both an environmental disposal issue for the station and a missed revenue opportunity. **[ASSUMPTION — VERIFY LOCALLY: exact byproduct volumes and current disposal practices vary by washing station; confirm with specific stations before contracting.]** Meanwhile, hotels and cafés serving the tourism/business market are actively looking for distinctive, story-rich, sustainability-linked menu and amenity items.

3. Solution

Cascara Circle contracts with one or more washing stations to collect cherry pulp/husk and reject cherry that would otherwise be discarded, and processes it into three product lines sold to hospitality and corporate clients: a brewed cascara tea (a well-established use of dried coffee-cherry pulp in specialty coffee markets internationally), a gentle cosmetic exfoliant using ground cherry husk, and a fuel briquette/growing-substrate product from the driest husk fraction.

4. Product

- **Cascara Tea (loose, for hotel/café brewing):** Sun-dried, cleaned coffee-cherry pulp, cupped and quality-graded before sale, brewed like a tisane with a naturally fruity, tea-like character.
- **Cherry Husk Exfoliant Base (bulk, for spa/hospitality use):** Finely ground, sieved husk supplied in bulk to hotel spas as a natural exfoliant base ingredient (hotels' own cosmetic formulators/partners finish the final product; Cascara Circle supplies the certified-clean base ingredient, avoiding the regulatory complexity of selling a finished cosmetic directly to consumers).
- **Husk Briquettes/Growing Substrate:** Compressed husk fuel briquettes for hotel kitchens/bakeries with wood-fired equipment, and a byproduct growing substrate sold to mushroom growers and hotel kitchen gardens.
- **Format:** Bulk supply contracts (kg-based) to hospitality and institutional buyers, not individual retail packaging.
- **Why customers want it:** A genuine, verifiable sustainability story (waste-to-value) that hotels can use in their own guest-facing marketing, plus a distinctive local product story for cafés wanting a house specialty beyond standard coffee.
- **Hard to confuse with an ordinary coffee product** because Cascara Circle **never sells roasted coffee** — its entire commercial identity is the "second life of the cherry," a structurally different product category from a coffee brand.

5. Sustainability

- **Sourcing:** Byproduct material that would otherwise be discarded by washing stations; no additional land or cherry is grown for this business — it exists purely to valorize existing waste streams.
- **Waste minimization:** All three product lines are designed to use different fractions of the same byproduct stream (pulp → cascara, fine husk → exfoliant, coarse/dry husk → briquettes/substrate), aiming toward full utilization of what is collected.
- **Packaging:** Reusable bulk sacks (returned to Cascara Circle on each institutional delivery) rather than single-use retail packaging, since the customer base is B2B/bulk.
- **Energy/water:** Sun-drying for pulp/husk; briquette pressing requires modest mechanical energy at scale (a real, labeled cost, not an eco-slogan).
- **End-of-life:** Any unused fine material is composted at partner farms/kitchen gardens.
- **Path toward zero-waste:** As volume grows, any remaining fine dust/fragments left after grading can be sold as a soil amendment, closing the loop further.

Investment

- **Minimum viable investment:** Basic drying and grading setup at one washing-station partnership, hand tools, initial bulk sacks — **[ASSUMPTION — VERIFY LOCALLY]** roughly 2,000,000–3,500,000 RWF.
- **Recommended investment:** Adds a small mechanical briquette press, a dedicated grading/storage shed, and a delivery vehicle — roughly 6,000,000–10,000,000 RWF.
- **Major equipment:** Drying racks/greenhouse dryer, grading sieves, briquette press, basic lab-style cupping setup for cascara quality control.
- **Facility:** A simple covered shed near or accessible to a partner washing station.
- **Staffing:** 2–4 part-time/seasonal workers for collection, drying, and grading; one dedicated quality/sales lead (often the founder initially).
- **Working capital:** Needed to cover collection payments to washing stations ahead of finished-product sales — a real cash-flow gap to plan for.
- **Compliance:** Food-contact material handling (cascara is consumed) should follow Rwanda FDA food-safety guidance for a dried plant-based tea product; cosmetic base ingredient supply should meet buyer-side cosmetic safety documentation requirements — **[VERIFY CURRENT REQUIREMENTS WITH RFDA BEFORE SELLING FOOD/COSMETIC-ADJACENT PRODUCTS.]**

Revenue Model

- Revenue from three streams: cascara tea sales to hotels/cafés (per kg contract), bulk exfoliant base sales to hotel spas, and briquette/substrate sales to kitchens and mushroom growers.
- **Conservative monthly scenario [ASSUMPTION]:** Small volume across a handful of hotel/café clients, modest gross margin after collection payments and processing labor.
- **Moderate scenario:** Standing contracts with several hotels plus one or two spa partners, briquette sales as a stable base-load revenue stream.
- **Ambitious scenario:** Multi-washing-station sourcing network, regional hotel-chain contract, and an export-grade cascara line (see Export Potential below).
- Major operating expenses: byproduct collection payments, labor, drying/processing energy, transport, quality testing.
- Net profit will depend heavily on securing **standing contracts** rather than one-off sales — this should be the first commercial priority.

B2B Strategy

- Target buyers: hotel F&B managers (cascara, exfoliant base), hotel spa managers, café owners seeking a house specialty, kitchen garden/mushroom-growing operations (substrate).
- Decision-makers care about: consistent supply, quality/food-safety documentation, a genuine and communicable sustainability story, and price predictability.
- Pilot approach: offer a free 2–4 week trial supply to one hotel's F&B and spa teams simultaneously, with a short story/spec sheet they can use internally.
- Securing repeat orders: move from trial to a written standing supply agreement with agreed volumes, price, and delivery schedule once quality is validated.

Premium Positioning

Customers pay more because of **verified waste-to-value traceability** (a story guests and corporate clients respond to), a distinctive house-specialty product unavailable from any beverage distributor, and reliability/consistency that a hotel's own informal sourcing could not match.

Export Potential

Cascara has real recognition in specialty international markets as a coffee byproduct product; export would require meeting destination-market food-safety/import standards, consistent grading, proper export documentation, and reliable cold-chain-free but moisture-controlled packaging and logistics. **[ASSUMPTION — VERIFY: specific import requirements vary by destination country and must be checked directly with a trade/export advisor such as NAEB before committing to export.]** A realistic first step is regional EAC sales before intercontinental export.

Environmental Impact

Qualitatively, this business converts a waste-disposal cost at washing stations into a sold product, reducing dumped organic waste and reducing reliance on other imported exfoliant/fuel materials. **No precise volumes or percentages should be claimed without direct measurement at the partner washing station(s).**

6. Target Customers

Hotels (F&B and spa departments), cafés, mushroom-growing operations, institutional kitchens with wood-fired equipment.

7. Competitive Advantage

- **Advantage source:** A sourcing network with washing stations (a relationship most "coffee brand" competitors never build, since they'd be sourcing green beans, not byproducts) plus a three-product-line structure from one input stream.
- **Why competitors may not immediately copy this:** Requires washing-station relationships, food-safety-aware processing, and simultaneous B2B pitches into three different hotel departments (F&B, spa, kitchen) — a much more complex go-to-market than "roast

and sell coffee.”

8–16: Startup Requirements, Budget, Unit Economics, Process, Marketing, Sales, Growth, Risks, 90-Day Plan

(Condensed here since Investment/Revenue Model above already cover the premium-specific financial detail required by the brief.) - **Requirements:** Washing-station partnership agreement, drying/grading shed, hand tools initially, briquette press added later, basic food-safety training for handlers. - **Unit economics (illustrative):** Cascara sold to hotels at roughly double the cost of collection + drying + grading; briquettes priced against local firewood/charcoal cost per kg with a modest premium justified by convenience and consistent burn quality — **[ASSUMPTION — VERIFY LOCAL FUEL PRICES].** - **Process:** Collect byproduct → sort/clean → sun-dry → grade (cascara for taste/appearance; husk for exfoliant fineness; dry husk for briquettes) → package in reusable bulk sacks → quality-check each batch before delivery. - **Marketing (first 30 days):** Approach 3 hotel F&B managers and 2 spa managers directly with free trial samples and a one-page sustainability story sheet; document the washing-station partnership visually for use in pitches. - **Sales:** B2B only; pricing via written quotes per kg/contract; first customers via direct hotel outreach; move to standing agreements once quality is proven. - **Growth:** Single washing-station partnership → multiple stations → regional hotel-chain contracts → EAC regional sales → selective export. - **Risks:** Byproduct volume inconsistency (seasonal coffee cycle), food-safety compliance gaps, hotel procurement cycles being slow, competition from imported specialty teas — mitigated by multi-station sourcing, early RFDA consultation, patient B2B relationship building, and leading with the local-story advantage imported products cannot offer. - **90-Day Plan:** Weeks 1–3 secure one washing-station agreement and test drying/grading process; weeks 4–6 produce trial batches and pitch 3–5 hospitality clients with free samples; weeks 7–9 refine based on feedback and formalize one paid pilot contract; weeks 10–12 register the business formally, document safety/quality procedures, and plan second washing-station relationship.

Originality Test

1. **Obvious idea:** A specialty coffee roastery/brand or a coffee shop.
2. **Structural difference:** Never sells roasted coffee at all; sells three byproduct-derived product lines to hospitality/institutional B2B buyers.
3. **Distinctive combination:** Resource (coffee cherry byproduct) + problem (washing-station waste disposal) + customer (hotel F&B/spa/kitchen departments) + business model (multi-product byproduct valorization) + sourcing (waste-stream partnership, not bean purchase).
4. **Hard to copy because:** Requires washing-station relationships, food-safety-literate processing across three different product categories, and simultaneous B2B credibility with three different hotel departments — a far more complex operation than opening a coffee brand.